

less if you've been particularly clever about how you implemented the trade, but you're still going to lose.

What other traders didn't work out?

There were three market makers we hired that didn't work out. One flatlined—he just became gun shy—and left. The other two lost money.

Was there anything different about the traders who didn't work out versus the majority who did?

Both the ex-market makers who blew up became way too invested in their positions. Their ego got in the way. They just didn't want to be wrong, and they stayed in their positions.

What about the firm's risk monitoring?

Well, they just hit their stops. I don't interfere with traders. A trader is either a stand-alone producer or gone. If I start micromanaging a trader's position, it then becomes my position. Why then am I paying him such a large percentage of the incentive fee?

In your own trading book, what is the breakdown between directional and relative value trades?

It completely depends. Sometimes I have no directional trades on, and sometimes directional trades dominate my book. Basically, I like buying stuff cheap and selling it at fair value. How you implement a trade is critical. I develop a macro view about something, but then there are 20 different ways I can play it. The key question is: Which way gives me the best risk/return ratio? My final trade is rarely going to be a straight long or short position.

How would you characterize yourself as a trader?

I don't have any tolerance for trading losses. I hate losing money more than anything. Losing money is what kills you. It is not the actual loss. It's the fact that it messes up your psychology. You lose the bullets in your gun. What happens is you put on a stupid trade, lose \$20 million in 10 minutes, and take the trade off. You feel like an idiot, and you're not in the mood to put on anything else. Then the elephant walks past you while your gun's not loaded. It's amazing how annoyingly often that